

B2B RECEIVABLES · REFERENCE

The Cost of Waiting

DSO, receivables risk, and why the timing of placement decides how much of a commercial invoice ever comes back

For a subscription or B2B business, the single biggest lever on how much of a past-due invoice is ever recovered is not how hard you chase — it is how quickly you act. The window between an invoice's due date and the day it is escalated determines what is realistically collectible. This reference explains the mechanics of days-sales-outstanding, the kinds of receivables risk that quietly erode cash, how steeply the recovery curve falls with age, and the credit-and-collections discipline that keeps a growing finance team out of write-offs.

Executive summary

- Most industries target a DSO of 30–60 days; a rising DSO is the earliest warning that receivables are aging faster than they are collected.
- Roughly 43% of B2B invoices are paid after the due date, and about 5% eventually become uncollectible bad debt — the tail a placement discipline is built to shrink.
- Recovery falls sharply with age — commonly cited commercial data puts it near 85–90% at 30 days, about 70% at 90 days, roughly 50% at six months, and near 23% at one year.
- The highest-leverage change most finance teams make is a standing rule to place accounts at 90 days past due — and on pure contingency there is no upfront cost to doing so.

1. What DSO measures — and the risk hiding behind it

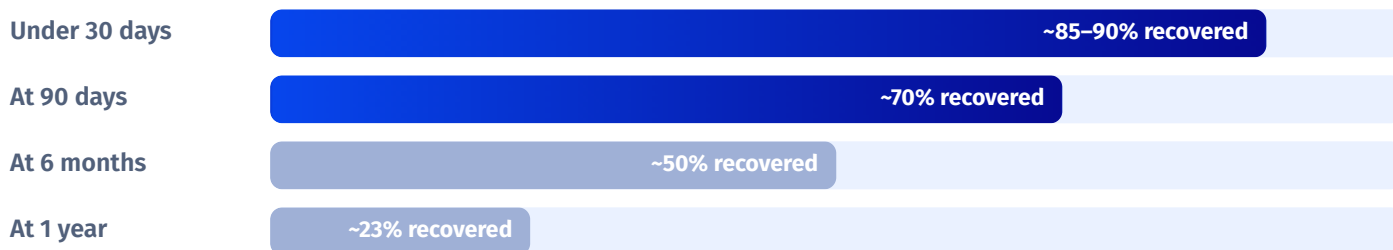
Days sales outstanding is the average number of days it takes your business to collect payment after issuing an invoice — calculated as average accounts receivable divided by net credit sales, times the number of days in the period. It is the clearest single read on how efficiently revenue you have already earned is converting into cash, and most industries target somewhere between 30 and 60 days. A DSO drifting well above your terms is telling you something specific has changed, because it is a symptom rather than a diagnosis: a large customer stretching payment, a billing process that has slipped, or a cohort of accounts quietly aging into the danger zone. Watching it monthly turns receivables from an end-of-quarter surprise into a managed line you can act on while action still works.

Underneath a rising DSO sit four distinct kinds of risk, and knowing which one is driving your past-due balance tells you how to respond and which accounts to place first. **Credit-default risk** is the customer who becomes insolvent and cannot pay at all — a fast-growing account that files bankruptcy and turns a five-figure invoice uncollectible overnight. **Late-payment and aging risk** is the balance that is eventually paid but far past terms, the

30-day invoice that routinely settles at 75 and forces you to draw a credit line to cover payroll. **Concentration risk** is the handful of customers who make up most of your receivables, so one slow payer swings the entire cash position. And **operational risk** is the billing error or dispute — an incorrect PO number, a mismatched line item — that delays an otherwise legitimate invoice for weeks. A short, consistent set of measures keeps all four visible: DSO for the trend, a collection-effectiveness index for how much of what was available you actually collected, a regular aging review so nothing slips quietly from 30 to 90 days, and a bad-debt ratio to track the write-offs a placement policy is meant to shrink.

2. Recovery falls as an invoice ages

A commercial balance is most collectible while it is fresh. As it ages, contact information goes stale, the paying contact moves on, the customer disengages, and — critically — a strained debtor begins prioritizing current operating expenses over aged payables, letting old invoices drop down the payment list into an entrenched non-payment pattern. Widely cited commercial recovery data shows how steep and unforgiving the curve is:



Industry recovery-rate benchmarks (consistent with Commercial Collection Agencies of America findings that collectability falls below roughly 25% after a year); figures vary by source and portfolio. Illustrative — actual recovery varies by account age, balance, documentation and industry.

The lesson is not that old debt is worthless — it is collectible, and it should still be placed. The lesson is that the first ninety days of delinquency are a window that does not come back: an invoice worked at day 45 and an identical invoice worked at day 250 are, in practice, two very different assets. And the damage of a high DSO compounds while you wait. Cash you have earned sits unavailable, unable to fund payroll, vendors or growth. Paying your own suppliers late gets harder, which can cascade into fees and weaker terms. Capital locked in receivables is capital not funding expansion. And businesses with high DSO often reach for short-term financing to cover operations — paying interest to borrow money they are already owed.

The math is easy to feel at portfolio scale. A \$2M annual receivables book running a DSO of 55 days against 30-day terms has on the order of \$135,000 in already-earned revenue sitting uncollected at any moment — capital you are effectively lending your customers interest-free. Pull DSO back toward terms and you free a meaningful share of that permanently; let a cohort drift past 90 days and a predictable portion converts to write-off. Neither outcome is luck — both follow directly from how quickly the aging bucket is worked, which is precisely why the timing of placement is a financial decision, not an administrative one.

3. A proactive collections calendar — and the rule that recovers more

The most effective AR teams do not wait for an invoice to feel “very late” before acting. They run a fixed, escalating cadence from before the due date and hand off on a schedule rather than a hunch, because the probability of collecting drops significantly after 90 days:

TIMING	ACTION	PURPOSE
5 days before due	Courtesy email reminder	Confirm the invoice is scheduled; surface disputes early.
3 days past due	Phone call	A human touch resolves most simple oversights before they age.
7–15 days past due	AR specialist contact + formal notice	Direct, documented follow-up from a named owner.
45–60 days past due	Firmer formal notice	State the overdue status plainly; set expectations for referral.
60–90 days past due	Certified demand with deadline	A traceable demand stating amount, invoice reference and a firm date.
90–120 days past due	Professional agency placement	Third-party demand changes the calculus while odds are still high.

The single most valuable change most finance teams can make is to turn the last row into a standing rule: place any account still unpaid at 90 days past due, applied to every customer rather than decided case by case. Placing early does not mean abandoning older accounts — aged balances should still be placed, and on contingency there is no cost to trying — it simply means the sooner an account is escalated, the more comes back. A good way to prove it on your own book is to place a test batch of fresher accounts alongside the aged backlog and measure recovery by placement age; the gap makes the case for placing earlier, permanently.

4. Prevention, SaaS specifics, and the economics of outsourcing

The cheapest dollar to collect is the one you never let go bad, and a written credit policy keeps aging under control before collections is ever needed: vet customers with credit applications, trade references and — for larger limits — commercial credit reports; define credit limits, terms and approval steps in writing and revisit them quarterly; invoice cleanly and immediately with the PO number and clear terms, since most avoidable disputes start with a sloppy invoice; and make it easy to pay, with a modest early-payment discount and multiple payment channels. Recurring-revenue books have their own failure modes worth naming: a large share of “non-payment” is simply an expired or failed card that a tight dunning sequence recovers before it becomes a receivable, but the balances that survive dunning are real and worth placing; auto-renewals disputed after the fact are documentation questions the order form and usage records usually settle; consumption and overage invoices draw more disputes than flat subscriptions, so clean usage logs are the best protection; and once a customer has decided to churn, the incentive to pay the final invoice drops fast — which is exactly why churned accounts belong in the 90-day placement rule rather than an indefinite internal follow-up loop.

Finance leaders often assume keeping collections in-house is free. It rarely is. Once you account for the staff hours spent chasing aged accounts, the collections and skip-tracing tools, and the productivity lost to work that is not closing new revenue, the fully-loaded cost of chasing old debt internally frequently exceeds a professional contingency fee — especially past 90 days, where the internal recovery rate is already low. Contingency inverts the risk: you pay only a percentage of what is actually recovered, and only when it is recovered, so an account that collects nothing costs nothing and your team’s hours go back to current receivables and new business.

How Southwest Recovery fits your order-to-cash cycle

We turn this into a low-lift extension of your process. You place accounts through our secure client portal — bulk-uploading an AR or aging export from NetSuite, QuickBooks, Stripe or your billing system — and we map your columns so there is no re-keying and outreach begins within 24–48 hours of a documented placement; responsive accounts often show results within 30–45 days. A live dashboard gives your team account status and recovery on demand rather than a monthly summary, and we will help you set automated age triggers so accounts are placed inside the window instead of aging quietly toward a write-off. It is pure contingency — no upfront fee, no retainer, no minimum — so the three variables most under your control (data completeness, data freshness, and placement timing) work for your recovery rate instead of against it.

We also make the payoff measurable. Rather than a single blended recovery figure, we report liquidation by vintage and placement age — a ladder view that shows, on your own portfolio, exactly what earlier placement is worth. That turns DSO from a number you watch into one you can move, quarter over quarter, and it is how the best-run finance functions keep raising their recovery rate rather than accepting whatever comes back.

For most teams the change is procedural, not painful: adopt a standing rule that every account still unpaid at 90 days is placed automatically, wire it to your billing system's age triggers, and the highest-leverage lever in this paper runs itself — no month-end debate about which accounts to send, and no balances quietly aging past the point of recovery.

About Southwest Recovery Services

Southwest Recovery Services is a commercial, B2B-focused collection agency that has recovered business receivables on pure contingency since 2004, working unpaid invoices for finance teams across the country — from subscription and SaaS balances to trade, freight, contracting, healthcare and professional-services receivables. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts, with nationwide reach across all 50 states from 12 offices in 7 states. The model is simple: pure contingency, with no upfront fee, no retainer and no minimum — no recovery, no fee — backed by a documented, Reg F-compliant process, ACA International membership, and a clean compliance record since 2004.

Put a number on your window

We'll review a representative sample of your past-due accounts and give you an honest, age-based read on what is recoverable — and what a standing 90-day placement rule would add to your cash flow.

Call **(866) 551-4684** · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Figures are illustrative and vary by portfolio. Southwest Recovery Services recovers business (B2B) receivables nationwide.